

Azure Compute Cost Optimization Guide

This sample guide is fictional training content for a cloud cost assistant. Use it to identify optimization opportunities in virtual machines and managed disks.

Virtual machine right-sizing

A virtual machine should be sized from measured CPU, memory, disk throughput, and network utilization rather than from peak assumptions. Review 30 days of metrics before changing production capacity.

- Flag development VMs that are powered on outside business hours; automate stop and start schedules where an owner confirms the workload can pause.
- For consistently low CPU and memory use, test a smaller SKU in a non-production environment before reducing production capacity.
- Use Azure Hybrid Benefit, reserved instances, or savings plans only for steady, long-running workloads with confirmed usage.
- Do not deallocate a VM until the owner confirms its dependencies, backup requirements, and uptime objective.

Managed disk hygiene

Managed disks can continue to incur charges even when they are not attached to a running VM. Inventory disk state, SKU, size, snapshots, and resource ownership.

- Investigate unattached disks first; retain only disks that have a documented recovery, migration, or compliance purpose.
- Use Standard SSD or Standard HDD for lower-throughput development and archival workloads when performance tests permit.
- Review Premium SSD capacity tiers and remove obsolete snapshots after the retention period.
- Tag disks with owner, environment, application, and retention date so deletion decisions are traceable.

Dummy scenario

analytics-vm-01 is a development Standard_D8s_v5 VM with a business-hours tag. Its associated 1 TB Premium_LRS disk is unattached. This pattern merits schedule verification, right-sizing analysis, and an immediate disk ownership review.